

Fearnleys Dry Bulk Weekly

Nov 26, 2025

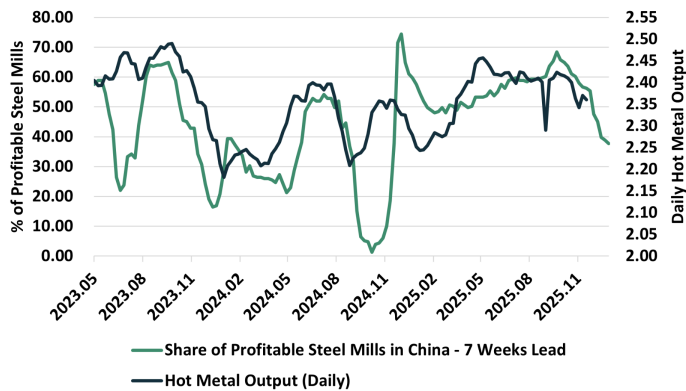


Capesize/Newcastlemax

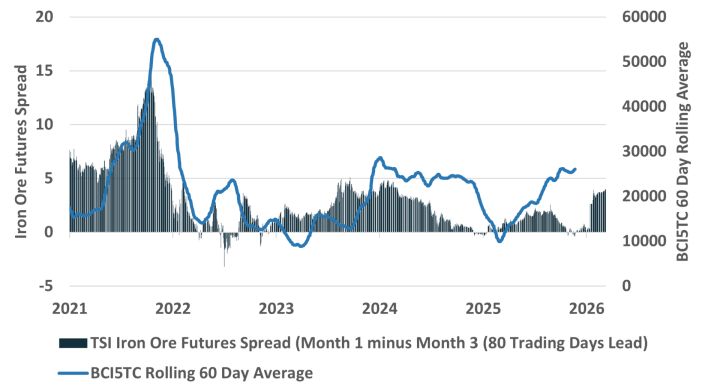
Last week, we wrote "Slight rebound in China's iron ore consumption last week, but the share of profitable steel mills fell further, so consumption is likely to continue trending down in the near term. Nonetheless, consumption is slightly higher year on year, which, along with higher coal shipments yoy (since the start of October) and higher bauxite shipments yoy means the market should continue outperforming last year's levels. The first 6 months of this year, the market averaged 33% lower than the first 6 months of 2024. In Q3, the market averaged at similar levels to last year, and so far in Q4, the market is about 20% higher than last year."

To last week's comment, we can add that inventory building in China has counteracted the negative trend in iron ore consumption since early October. Spot markets are now at year-to-date highs, and as a pointer to how high it might go, the C5TC index has peaked at a ratio of around 2.5 to the P5TC over the last years.

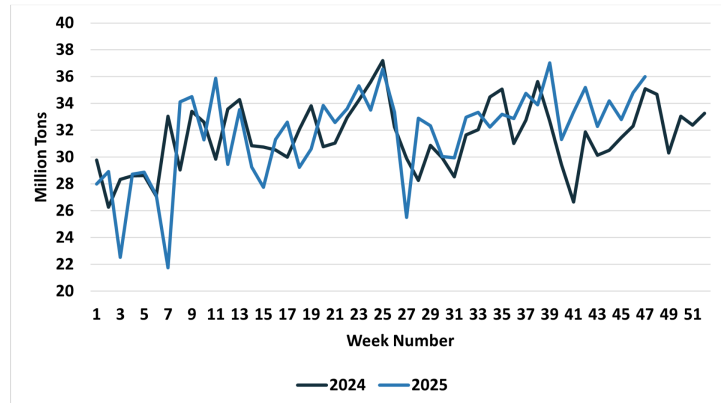
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



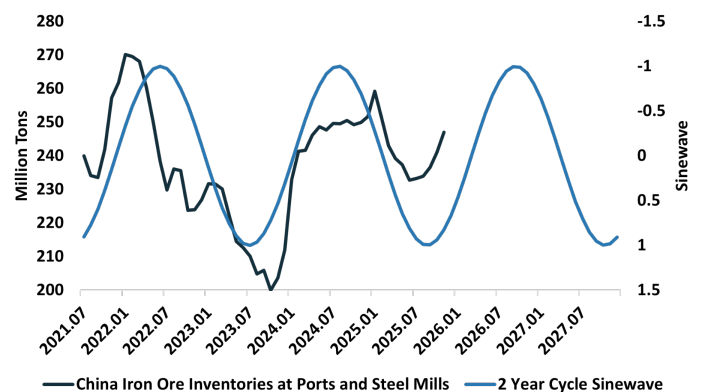
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Cape/Newc Weekly Shipments 24 vs 25



China Iron Ore Inventories at Ports and Steel Mills

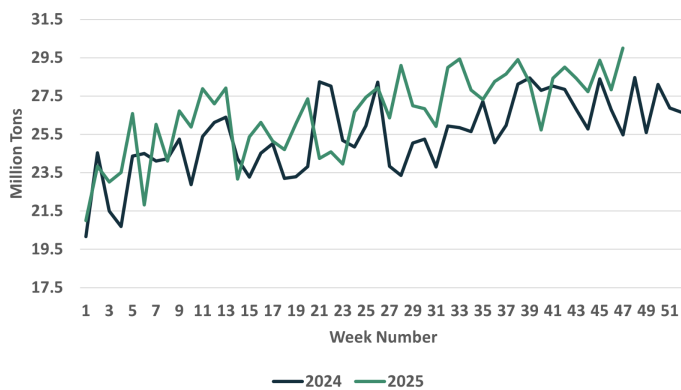


Panamax/Kamsarmax

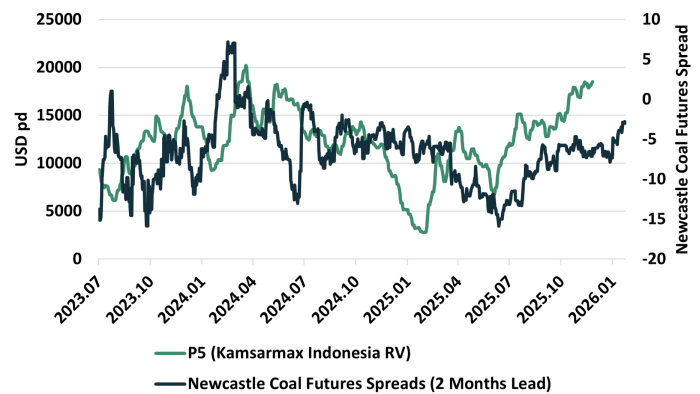
Last week, we wrote "Indicators look more bullish than one week ago. The coal futures curve contango has diminished along with a rise in spot prices. The South Atlantic vessel tightness indicator has turned up, suggesting a potential downtrend (which is yet to be seen) could end in early December. A continuation of sideways market movement still seems most likely, but year-to-date highs in the P5TC index could be reached before year-end."

The coal futures curve keeps getting less backwardated, indicating there is room for more upside in the Pacific. However, spot prices have softened slightly, as China's import demand is reportedly slowing down a bit after several strong weeks. Otherwise, the North Atlantic keeps strengthening, supported by US Soybean shipments to China, but the South Atlantic tightness indicator shown below has turned down again. So overall, we are perhaps looking at minor gains in the P5TC index until year-end, but there is a chance the rally will also stall here.

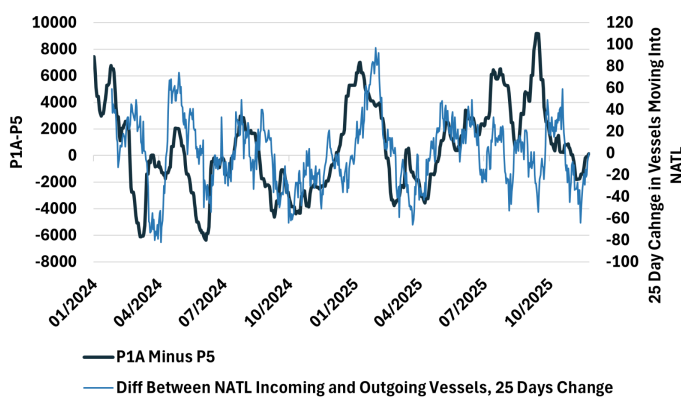
Pmx/Kmx Weekly Shipment Volumes



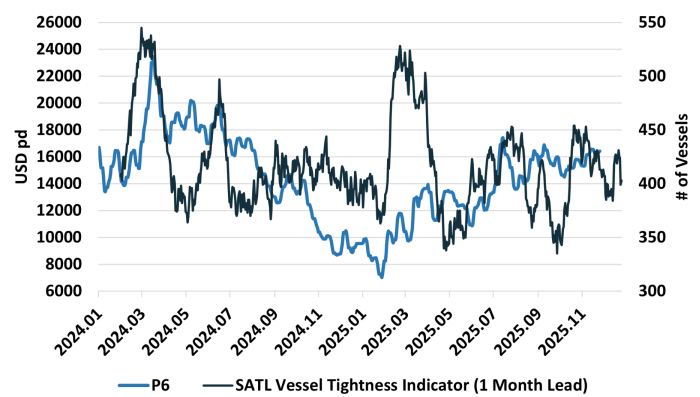
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



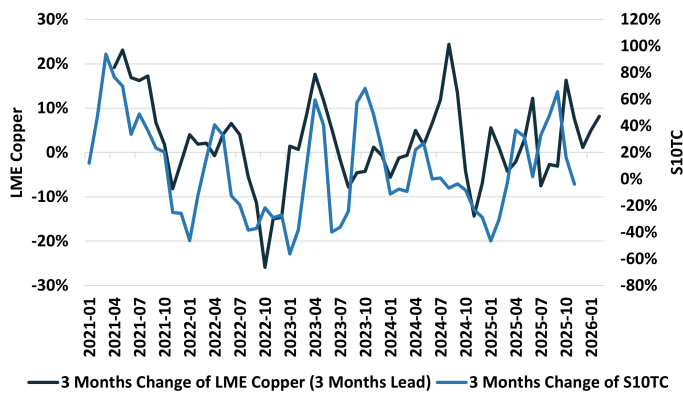
Supramax/Ultramax

Two weeks ago, we wrote: "Rates found support last week, reflecting that the underlying fundamentals are strong. The surge in USG rates has been particularly impressive. We still think the highs of the year are behind us, however.

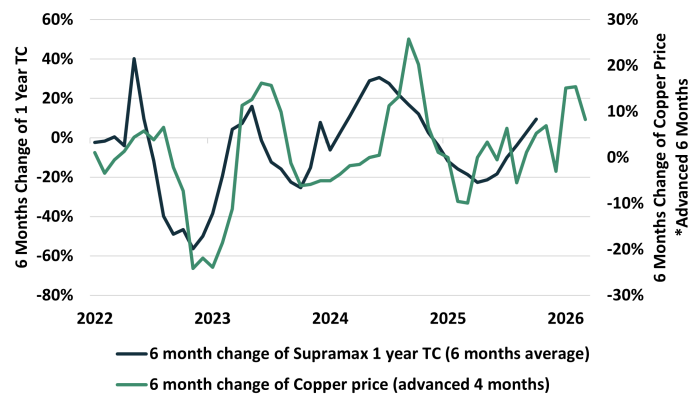
In comparable years when demand growth surged during the second half of the year, like this year, the following Q1 turned out to be quite firm. 2023 into 2024, when the S11TC index bottomed at 13.500 usd pd in January, and 2020 into 2021, when markets kept rising in Q1."

Industrial metals prices have softened over the last month, and the ballaster/laden vessel ratio has turned up noticeably in the last weeks. The Jan/Feb downseason is quickly approaching, so we think at best spot levels will trend sideways until year-end.

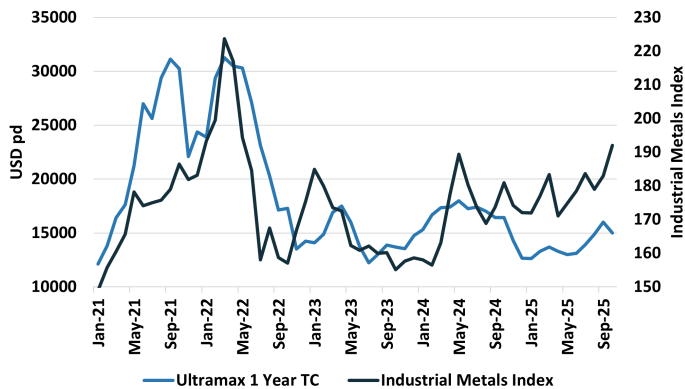
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



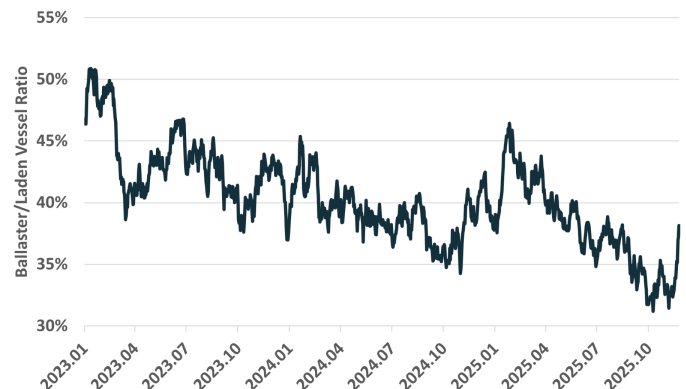
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Supra/Ultra Ballaster/Laden Vessel Ratio





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